development. Deng welcomed a whole train of overseas Chinese academics and scientists, including several Chinese-American Nobel laureates who could help improve the quality of education in China. Chinese students were allowed to join academic institutions in the Western world to acquire advanced knowledge, with the Chinese government financing a large number of such students. Acquisition of knowledge and improvement of human resources were the early priorities of the Reform and Opening-Up Policy.

In rolling out a series of economic reforms, China under Deng pursued what Chinese economists like Justin Yifu Lu have described as catch-up through a learning process:

> While China's economic success is widely attributed to its economic reform and opening up policy, it might be better perceived as a learning process. As a latecomer, China has grasped the opportunities to learn both technology and institutions from early developers and has made full use of its advantages. China is without doubt the most successful learner of the past 40 years. [1]

At this point, it may be worthwhile to draw lessons from world economic history. Power shifts take place through the diffusion of knowledge and technology from the most advanced centres of a particular age to what may be termed as aspiring peripheries. A typical development trajectory involves the adoption, through borrowing, of advanced knowledge and technologies in the first phase, followed by their assimilation and internalization in the second phase. It is only in the third phase that the borrower and learner has the potential to emerge as a knowledge creator itself. We see this clearly in the Chinese growth trajectory when, after the disruption of the Cultural Revolution, China under Deng sought to acquire advanced knowledge and technology from wherever access to them was possible. China sent a number of fact-finding and study missions to the US, Japan and Western Europe to learn from their advanced technology and management systems and adapt them for China. An important mission in this regard in 1978 was headed by Vice Premier Gu Mu, who then played a major role in the implementation of Chinese economic reforms, in particular in the setting up of special economic zones (SEZs) in the coastal provinces of Guangdong and Fujian. In an interesting parallel, Meiji Japan (1868–1912), more than